

# THE STRATEGY

The idea is to buy when the price breaks the upper Bollinger Band and the Bollinger Bands Width increases. This is a swing trading strategy and the preferred timeframe is any frequency above 30 minutes. Prior to the buy signal, the market should be sideways for a while which will squeeze the Bollinger Bands. After a BB squeeze, if the market breaks the range, there is a high probability of the price moving in the breakout direction. The target is on trailing basis, i.e. the middle line of the Bollinger Bands will act like a dynamic support for the price helping traders to trail the stoploss. Once the price closes below the middle line traders should close the trade.

Similarly, when the market is making lower lows but has stuck at a support level, we will look for the price breaking the Bollinger Band squeeze and the market forming a bearish candle.

